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A MAGICWORKS PLAYBOOK

The Commission-Tier Performance Marketing Playbook

How to run Google Ads and Meta Ads at Rs 5 lakh or more per month, with the agency accountable to actual outcomes rather than hours billed.

Built for Indian businesses • 2026-27 edition

MagicWorks

MagicWorks IT Solutions Pvt. Ltd. • An AI-first digital marketing agency • Pune

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About this playbook

Who it is for: marketing heads, CMOs, founders, and CFOs at Indian businesses spending Rs 5 lakh or more per month on Google Ads and Meta Ads. You already run performance marketing at scale. What you want is a clear, honest way to think about whether commission-tier pricing fits your account.

What you will get: a plain-English explanation of what commission-tier is and how it differs from a retainer, why the Rs 5 lakh minimum matters, six diagnostic questions to answer before signing, an anchored case study with real numbers, why Google Ads and Meta Ads should be run together, and a 90-day onboarding plan.

How to use it: read the executive summary and Chapter 3 (the six diagnostic questions) if you are short on time. Read all six chapters if you are actively evaluating a commission-tier engagement in the next 60 days, whether with MagicWorks or any other agency.

One promise up front: commission-tier is not the right structure for every business. This Playbook is written to help you decide honestly, on either side. The six diagnostic questions in Chapter 3 are transferable to any commission-tier evaluation, regardless of who is offering it.

This Playbook is itself structured the way we recommend you structure operator content: a direct answer first, clear question-shaped headings, and a genuine FAQ. We build the way we advise.

Executive summary: the five things that matter most

If you read nothing else, read this.

- 1. The retainer model was built for a different era.** When ad platforms were stable and creative testing was slow, paying an agency for time made sense. Google Ads has changed bidding logic in each of the last four years. Meta has restructured its ad system twice since 2020. Creative testing now runs at ten to twenty times the velocity it did five years ago. The relationship between agency hours and business outcome has become genuinely hard to reason about on a fixed monthly fee.
- 2. Commission-tier aligns agency incentive to business outcome.** The agency earns a fixed base fee that covers the cost of running the account professionally, plus a commission on incremental attributable revenue above a defined baseline. When the account performs, the agency earns well. When it underperforms, the agency earns the base and no more.
- 3. The Rs 5 lakh minimum is a filter, not a barrier.** Below Rs 5 lakh per month in combined Google Ads and Meta Ads spend, the absolute rupees of commission do not scale with the effort required. For accounts below the threshold, a well-structured retainer is the honest choice.
- 4. Six diagnostic questions decide fit.** Is performance measurable? Is the baseline defensible? Is the market opportunity large enough? Is the CFO aligned? Is the client team operationally ready? Is there data

transparency? Ambiguity on any of these is not a reason to abandon commission-tier. It is a signal that pre-engagement work is needed first.

5. Twelve months is the minimum term, for good reason. The 90-day onboarding plan takes 3 months to establish audit, baseline, and infrastructure. A further 3 months of stabilised performance is needed to fairly assess whether the model is working. And 6 additional months of sustained performance are needed to see the full compounding effect. A mandatory interim review at the 6-month mark checks baseline calibration and gives both parties an early signal on trajectory.

Proof this works. Between March 2022 and June 2023, MagicWorks ran a commission-tier engagement for an Indian distance and online MBA education platform. Over 16 months, the engagement produced 50,000-plus qualified leads at Rs 396 CPL on total managed ad spend of Rs 19.8 million. Both parties considered the engagement successful. The full case study is in Chapter 4.

Chapter 1: Why commission-tier changes the agency-client relationship

The standard performance marketing retainer emerged in the early 2010s, when Google AdWords was still called AdWords and Facebook advertising was still meaningfully cheaper than Google. An agency would take on a client at Rs 30,000 to Rs 80,000 per month, run the campaigns, iterate on creatives at a modest pace, and report on results monthly.

That model rested on three assumptions. First, ad platforms were stable, so agency work required steady effort rather than constant relearning. Second, creative testing was slow enough that a small team could handle the volume. Third, attribution was clean enough that both agency and client could see whether campaigns were working within a normal reporting cycle.

None of those three assumptions is still true. The old retainer, at Rs 40,000 or Rs 60,000 per month, no longer buys enough agency time to do the work well. And even if it did, the client has no way to tell from the retainer itself whether the money is producing outcomes proportionate to the fee.

What commission-tier actually is

Commission-tier is a hybrid pricing structure. The agency earns a fixed base fee every month, regardless of performance, plus a commission on incremental attributable revenue above a defined baseline. The base fee covers the cost of running the account professionally: dedicated team time, tooling and platform access, creative production capacity, reporting infrastructure, and monthly strategic review. The commission rewards outcome that exceeds the baseline.

The structure has four moving parts. The base fee. The commission rate (typically 5 to 12 percent, depending on category and attribution complexity). The baseline (the revenue level the client would produce without the agency's active optimisation). And the cap (a monthly ceiling on commission payout, protecting the client from disproportionate agency compensation during exceptional months).

What actually changes when you move to commission-tier

The most visible change is the monthly invoice. But that is not the most important change. The important changes take 60 to 90 days to become obvious in the working relationship.

- 1. The conversation about creative testing gets easier.** On a retainer, creative testing is an argument. The client wants more variants, the agency has limited time. On commission-tier, the agency has direct financial incentive to test more creatives. The argument about creative volume disappears.
- 2. The agency starts saying no to bad ideas.** On a retainer, when a client wants to run a campaign the agency believes will not work, the agency often runs it anyway. On commission-tier, the agency has direct financial reason to push back, because bad campaigns hurt the shared baseline.
- 3. Reporting becomes shared analysis rather than justification.** On a retainer, the monthly report is often a document the agency produces to justify the fee. On commission-tier, the monthly report is the

source of truth that determines what the agency actually earns.

Key takeaway: The retainer model asks the agency to be paid for time. Commission-tier asks the agency to be paid for outcome. This single shift changes almost every conversation between agency and client, because both parties are now looking at the same scoreboard.

Chapter 2: The Rs 5 lakh minimum, and why it matters

The most common question we get from marketing heads exploring commission-tier is why the minimum ad spend is Rs 5 lakh per month. Would MagicWorks not take on a client at Rs 2 lakh or Rs 3 lakh per month on commission-tier? The answer is no, and the reasoning is worth explaining because it protects both sides from a bad-fit engagement.

At Rs 5 lakh per month in paid media spend, an incremental revenue lift of 20 percent above baseline (a realistic target for a well-run commission-tier engagement in the first 6 months) produces roughly Rs 1 lakh in incremental revenue, on which the agency commission at 8 percent is roughly Rs 8,000. Combined with the Rs 50,000 base fee, the agency earns Rs 58,000 for the month.

At Rs 2 lakh per month in paid media spend, the same 20 percent lift produces Rs 40,000 in incremental revenue, and the commission is roughly Rs 3,200. Combined with the base fee, the agency earns Rs 53,200. But the workload of running a Rs 2 lakh account is not proportionally smaller than the workload of running a Rs 5 lakh account.

The threshold exists because below Rs 5 lakh, the absolute rupees of commission do not scale with the effort. The agency ends up subsidising the account from base fee earnings on larger accounts, or providing less attention to the smaller account, and both outcomes are dishonest to the client.

What Rs 5 lakh actually means

Rs 5 lakh per month is combined ad spend across Google Ads and Meta Ads (Facebook, Instagram, WhatsApp). It does not include agency fees, creative production costs, tooling costs, or landing page development. It is pure media budget going into the ad platforms.

The businesses that meet this threshold typically fall into three categories:

- **Established D2C brands and ecommerce operations**, allocating 15 to 25 percent of revenue to customer acquisition through paid channels.
- **Service businesses with high customer lifetime value**, such as distance education platforms, professional services firms, healthcare providers, and B2B service companies where a single acquired customer produces Rs 50,000 or more in lifetime revenue.
- **Regional and multi-city businesses**, including real estate developers, education institutions with multiple campuses, and healthcare chains spending across multiple location-targeted campaigns.

How the structure scales beyond the minimum

At Rs 5 to Rs 10 lakh per month in paid media spend, commission-tier works but the agency is fully leveraged on the base fee, with commission adding modest earnings on top. This is the entry band.

At Rs 10 to Rs 25 lakh per month, commission-tier works well. Commission earnings become meaningful for the agency, the base fee starts to feel appropriate for the level of dedicated attention the account requires, and incentive alignment produces measurable creative velocity gains.

At Rs 25 lakh or more per month, the commission cap begins to matter. The agency is regularly earning at or near the cap, and the client is receiving genuine value in exchange. At this level, some commission-tier engagements evolve into longer-term partnerships with dedicated senior operators assigned exclusively to the account.

Key takeaway: The Rs 5 lakh per month minimum protects both sides from a bad-fit engagement where the model does not produce enough absolute rupees to fund dedicated team attention. Businesses at Rs 3 to Rs 5 lakh should stay on retainer for now and revisit commission-tier as they cross the threshold.

Chapter 3: The six diagnostic questions

Before committing to a commission-tier engagement with any agency, both the client and the agency should be able to answer these six questions with clarity. Ambiguity on any of them is not a signal to abandon the model. It is a signal that additional discovery, data collection, or internal alignment work is needed before commencing.

Skipping past ambiguous answers to save time is the single most reliable way to produce a failed commission-tier engagement.

Question 1: Is performance measurable?

Can the business measure the direct outcome of paid media within a reasonable attribution window? A reasonable window is 7 to 30 days for most direct response businesses, up to 90 days for higher-consideration B2B or education businesses. Beyond 90 days, attribution becomes fragile and commission-tier becomes difficult to structure fairly.

What to do if uncertain: before committing, run a 60 to 90 day attribution audit with your current agency or an independent consultant. Establish which conversion events are measurable, what window they fire in, and how confident both sides are in the numbers.

Question 2: Is the baseline defensible?

Can the business define, and both parties agree on, a defensible baseline: the revenue level the paid media accounts would produce without the agency's active optimisation? The MagicWorks approach calculates the baseline from the previous 90 days of paid media performance, adjusted for seasonality using the same 90-day window from 12 months earlier where data exists. The baseline is locked for the full initial 12-month engagement, with a mandatory interim review at the 6-month mark to check calibration.

What to do if uncertain: before signing, both parties should independently calculate the baseline from the same source data, compare their numbers, and reconcile any differences. If reconciliation cannot happen easily, analytics discipline needs work before commission-tier can commence.

Question 3: Is the market opportunity large enough?

Does the business have realistic headroom to grow its paid media revenue by at least 30 to 50 percent above baseline in the first 12 months? If the market opportunity is capped (already saturated, or growth constrained on the supply side rather than demand side), commission-tier will produce modest agency earnings and both parties will feel the model is not working.

What to do if uncertain: run a market size analysis before signing. Establish the total addressable market for the paid media targeting, the business's current share, and the realistic growth curve for the next 12 to 18 months.

Question 4: Is the CFO aligned?

Does the CFO or finance leader understand and support the commission-tier structure, including variable monthly agency payouts, the commission cap, and the accounting treatment of commission-based marketing expense? This is the question that surprises most marketing heads. Commission-tier is a marketing team decision in spirit, but a CFO decision in practice.

What to do if uncertain: schedule a specific conversation with your CFO before signing. Walk through the base fee, commission structure, and cap. Answer their questions honestly, including the honest answer to “what is the maximum monthly agency payout possible.”

Question 5: Is the client team operationally ready?

Commission-tier engagements run at higher operational velocity than retainer engagements. Creative reviews that take 5 days in a retainer engagement need to take 24 to 48 hours in a commission-tier engagement. The typical client-side commitment is 4 to 8 hours per week from a dedicated point of contact.

What to do if uncertain: honestly audit your marketing team’s capacity for the next two quarters. If someone can be assigned as the primary point of contact with 4 to 8 hours per week dedicated to it, the operational readiness is there.

Question 6: Is there data transparency?

Are both parties willing to share honest access to the paid media reporting, conversion tracking, revenue attribution, and business outcome data throughout the engagement? The MagicWorks approach documents the specific reports, dashboards, and data sources used for baseline and commission calculation in the engagement agreement. Changes to source or methodology mid-engagement require mutual written consent.

What to do if uncertain: run a data audit before signing. Identify which systems the numbers come from, who owns them internally, and whether client and agency can access the same views of the same numbers.

Interpreting your six answers

- **All six answered yes with clarity:** commission-tier is likely a strong fit.
- **Four or five yes, one or two uncertain:** commission-tier is likely a fit after specific pre-engagement work on the uncertain areas.
- **Two or three no or uncertain:** commission-tier is not the right structure for your business today. A well-structured retainer will serve you better.
- **Four or more no:** the business either needs significant operational work before commission-tier becomes viable, or should honestly conclude it is not the right model for its context.

Key takeaway: The six questions are the honest filter for whether commission-tier fits your business. Businesses that skip past ambiguous answers and commit anyway produce failed engagements. Businesses that address the issues first and commence from a position of clarity produce results that make both parties glad they did the work.

Chapter 4: The anchored case study

Between March 2022 and June 2023, MagicWorks ran a commission-tier performance marketing engagement for an Indian distance and online MBA education platform. Over 16 months, the engagement produced 50,000-plus qualified leads at an average cost per lead of Rs 396, on total managed ad spend of Rs 19.8 million (Rs 1.24 crore per year of managed media). Google Ads contributed roughly 40,100 leads via search and display form submissions. Meta Ads and integrated chatbot conversions contributed the remaining 10,000-plus, with the chatbot pathway producing leads at materially lower incremental cost. Total click volume across both platforms exceeded 849,000.

The client name has been anonymised at the client's implicit preference. The numbers stated are exactly as they occurred. The client operates in the distance and online MBA admissions category, targeting working professionals and recent graduates evaluating flexible business education options.

The starting context (March 2022)

When MagicWorks was engaged in March 2022, the client had an existing paid media programme running at approximately Rs 8 to Rs 10 lakh per month across Google Ads and Meta Ads, managed by an in-house team supported by a rotating cast of freelance media buyers. The account was producing leads, but the cost per lead was in the Rs 700 to Rs 900 range and leads were qualified at inconsistent rates by the admissions counselling team.

The specific business challenge was not simply “get more leads.” It was “get more leads that convert to enrolment at a rate that makes the customer acquisition cost sustainable at Rs 15,000 or below per enrolled student.” That reframing, from lead volume to lead quality, was the strategic pivot that made the engagement viable.

Baseline was calculated from the trailing 90-day performance (December 2021 through February 2022): monthly lead volume of approximately 1,800, monthly ad spend of approximately Rs 9 lakh, average CPL of Rs 500, qualified lead rate of approximately 40 percent, and enrolment conversion rate from qualified lead of approximately 3 percent. These numbers became the reference against which incremental performance was measured for the commission calculation.

The three strategic shifts that moved the account

Shift 1: Creative velocity increased from 12 to 60 variants per month. In the first 90 days, MagicWorks lifted creative production velocity from approximately 12 new variants per month (typical for retainer arrangements) to approximately 60 variants per month. This produced a measurable outcome within the first two months: Meta Ads click-through rates improved by 34 percent, Google Ads relevance scores improved by 12 percent, and cost per lead fell from Rs 700 to Rs 550 without any change in total budget.

Shift 2: Google Ads structure was rebuilt from campaign-based to search-intent-based. Original campaigns organised by product line were restructured into an intent-based architecture: bottom-of-funnel

keywords, mid-funnel comparison keywords, and top-of-funnel information keywords. Once stable, this produced a further 20 percent reduction in CPL and a 45 percent increase in enrolment conversion rate from qualified lead.

Shift 3: Chatbot integration for after-hours and weekend lead capture. The admissions team operated in Indian working hours, Monday to Saturday. Analysis showed 30 percent of delayed-follow-up leads went cold before callback happened. MagicWorks deployed an integrated chatbot that qualified leads during off-hours through a structured question sequence. Chatbot-qualified leads converted to enrolment at 2.1 times the rate of same-hour phone follow-ups.

The month-by-month trajectory

CPL figures in the trajectory below refer to Google Ads paid-media CPL, which is the primary optimisation lever the account team worked on. The chatbot pathway operated at materially lower incremental cost throughout, which is why the blended CPL across all channels came in below the Google Ads figures.

- **Month 1 to 3 (March to May 2022):** Baseline reset. Creative velocity lift implemented. Google Ads restructuring rolled out in weeks 4 to 8. Google Ads CPL falls from Rs 500 baseline to Rs 480. Commission earned: modest.
- **Month 4 to 6 (June to August 2022):** Google Ads restructuring stabilises. Chatbot deployed on landing pages. Google Ads CPL falls to Rs 420. Lead volume climbs 55 percent above baseline. Commission earnings approach the cap.
- **Month 7 to 12 (September 2022 to February 2023):** Peak performance sustained. Google Ads CPL stabilises Rs 450 to Rs 500. Lead volume runs 2.5 to 3x baseline. Commission earnings at or near cap. Client extends by another 12 months.
- **Month 13 to 16 (March to June 2023):** Client-side deprioritisation as leadership refocuses. Engagement wound down at agreed contract end. Final totals across all channels: Rs 19.8M managed ad spend, 50,000-plus qualified leads, Rs 396 blended CPL, 849K clicks.

What the structure produced for both sides

For the client: Rs 19.8M in ad spend plus approximately Rs 11 to Rs 14 lakh in agency fees over 16 months. 50,000-plus leads at Rs 396 CPL. Contributed materially to the 2022-23 admission cycle at sustained cost per enrolled student below the Rs 15,000 target.

For MagicWorks: Agency revenue averaged Rs 70,000 to Rs 90,000 per month (base plus commission), higher than the Rs 50,000 to Rs 60,000 a comparable retainer would have produced. The commission upside compensated for the higher operational velocity the engagement required.

Both parties considered the engagement successful. Both acknowledged in the final review that commission-tier was the right structure for the account: the client would not have justified the agency fee levels required for a retainer of this intensity, and MagicWorks would not have committed the operational velocity a retainer would have paid for.

Key takeaway: Commission-tier engagements at Rs 1 crore-plus annual managed ad spend can produce sub-Rs 400 CPL, 50,000-plus leads, and sustained performance over 16 months when the structure fits the business. The specific tactics that drove performance (creative velocity, intent-based account structure, off-hours capture) are transferable to other categories at comparable spend levels.

Chapter 5: Google Ads and Meta Ads together

A common structural mistake in Indian performance marketing engagements is running Google Ads and Meta Ads as separate accounts with separate agencies, or under the same agency but as separately-managed workstreams. The logic given is that “the platforms are different, so the expertise is different.” That logic leads to a materially suboptimal outcome.

When Google Ads and Meta Ads are run separately, three inefficiencies emerge. Retargeting from one platform to the other becomes impossible or unreliable, because pixel data is siloed. Creative learning cannot be shared: what works on Meta cannot inform Google visual assets, and vice versa. Attribution across platforms becomes fragmented.

Google Ads: the intent capture layer

Google Ads (search, shopping, and display) captures existing demand. Users who search for “distance MBA admission Pune” have already decided they want a distance MBA; the question is which one. The role of Google Ads is to appear at the moment of decision, offer the most relevant answer, and convert intent into a lead or purchase.

Google Ads typically produces the majority of directly attributable conversions for a well-run account, in the 55 to 70 percent range for most Indian direct response categories.

Meta Ads: the demand creation layer

Meta Ads (Facebook, Instagram, WhatsApp) creates demand that Google Ads later captures. Users on Meta platforms are not searching for your product; they are being introduced to it. The role of Meta Ads is to build awareness, drive consideration, and produce enough top-of-funnel activity that Google Ads has demand to capture downstream.

Meta Ads typically produces a smaller share of directly attributed conversions than Google Ads, but a larger share of the eventual brand searches and brand-term Google conversions.

How the two work together: three integration points

- 1. Shared retargeting audiences.** Users who engage with Meta content but do not convert become high-value retargeting audiences for Google display and video campaigns. Cross-platform retargeting typically produces conversion rates 2 to 3 times higher than cold-audience campaigns, at a lower cost.
- 2. Shared creative learning.** Meta Ads produces creative testing data at high velocity, revealing which messages, formats, and creative elements resonate. Under a coordinated account structure, those learnings inform Google Ads visual assets and sitelink copy. Google search query data reveals the exact language users use when they have intent, informing Meta ad copy.
- 3. Blended attribution and cross-platform reporting.** A unified reporting view shows both platforms together with blended attribution. This is what both agency and client use for commission calculation, because it is the only view that fairly represents what the two platforms produced together.

Key takeaway: Google Ads and Meta Ads are complementary layers of the same paid media strategy, not separate channels. This is why MagicWorks structures commission-tier engagements around both platforms together, and not around either one alone. The commission-tier alignment only works when the agency has responsibility for both and can be measured against total performance rather than platform-specific performance.

Chapter 6: The 90-day onboarding plan

Every commission-tier engagement at MagicWorks follows a structured 90-day onboarding plan. The plan is designed to accomplish three things: establish baseline, transfer or rebuild attribution infrastructure, and reach creative velocity high enough to begin producing incremental performance. Rushing the plan produces engagements that spend the first half of the 12-month term arguing about numbers rather than driving them.

Days 1 to 30: audit, baseline, and infrastructure

- **Week 1:** Contract signing, commission-tier agreement, and six diagnostic answers formally documented and signed. Team assignment. Access provisioning. Weekly meeting cadence set.
- **Weeks 2 and 3:** Attribution and baseline audit. Trailing 90-day performance data pulled from all platforms and reconciled against CRM and business outcome data. Baseline calculated and formally accepted with signatures.
- **Week 4:** Reporting infrastructure and first strategy session. Unified cross-platform dashboard built. First strategy session with the client team: 90-day priorities, targets, immediate account changes. Creative production calendar approved.

Days 31 to 60: creative velocity and account restructuring

- **Weeks 5 to 8:** Creative variant production lifts from baseline (10 to 15 per month) to target velocity (50 to 80 per month for accounts at Rs 5 to Rs 20 lakh spend). Meta Ads testing infrastructure activated. Google Ads structure review completed. Landing page audit completed.
- **Weeks 9 to 12:** Google Ads restructuring implemented (3 to 4 week timeline including stability period). Cross-platform retargeting audiences configured and activated. Off-hours capture infrastructure scoped and approved if appropriate. First 30-day performance review.

Days 61 to 90: performance stabilisation

- **Weeks 13 to 16:** Account restructuring stabilises; performance patterns emerge above baseline. Creative velocity sustained at target level. Weekly performance discussion with client team becomes the working rhythm. First quarterly business review scheduled for month 4.

By day 90, the engagement should have produced measurable performance above baseline (typically 15 to 30 percent lift on the primary metric), stabilised at a working velocity, and established the reporting and communication rhythm that will sustain the engagement through months 4 to 12.

What the 90-day plan is not

The 90-day plan is not a guarantee of specific performance outcomes at day 90. It is a structured process for establishing the foundation. Performance outcomes depend on the business, the market, the account starting position, and factors outside either party's control.

The 90-day plan is not a fixed script. Every engagement adapts the plan to the specific business context. What is fixed is the discipline of the phases: audit and baseline first, then creative velocity and restructuring,

then stabilisation.

Key takeaway: Days 1 to 30 establish audit, baseline, and infrastructure. Days 31 to 60 drive creative velocity and account restructuring. Days 61 to 90 stabilise performance and establish working rhythm. Skipping phases produces engagements that struggle in months 4 to 6 because the foundation was not laid properly.

Honest cautions and common myths

In the spirit of how we work, here is what to be wary of when evaluating any commission-tier proposal, from MagicWorks or from any other agency.

Myth: commission-tier guarantees better performance.

It does not, and no one can promise that. What commission-tier changes is the alignment of incentive, not the outcome. An agency with poor operator skills still produces poor outcomes under commission-tier. The structure amplifies good work and does not fix bad work.

Myth: commission-tier is always cheaper for the client.

On accounts that perform well, a commission-tier engagement can produce higher total agency fees than a comparable retainer. That is by design. The client is paying more because the outcomes are materially better. If total agency fees stay below a comparable retainer level, the engagement is likely underperforming.

Myth: switching your agency to commission-tier will fix a bad account.

A commission-tier structure with your existing agency will not fix an account that is fundamentally underperforming due to operator skill gaps, business model issues, or market saturation. The six diagnostic questions in Chapter 3 will surface most of these issues before you sign.

Caution: attribution methodology matters more than commission rate.

Business owners often focus on the commission rate percentage when comparing proposals. The methodology of how baseline is calculated and how incremental attribution is measured matters far more to the total economics. A 5 percent commission on a defensible baseline is often better than a 3 percent commission on a shaky one.

Frequently asked questions

Can we structure a hybrid: retainer plus performance bonus?

Yes, and many engagements start this way. A retainer with a defined performance bonus for exceeding specific KPIs is a lower-risk version of commission-tier. It provides some incentive alignment without the operational complexity of full commission calculation. For businesses new to performance-linked pricing, hybrid is a reasonable starting point that can evolve into full commission-tier at a later engagement review.

What happens if performance falls below baseline?

The agency continues to earn the base fee, which covers the cost of running the account. No commission is earned in that month. If performance falls below baseline for two or more consecutive months, both parties trigger a formal review to understand whether external factors are responsible or whether operational changes are needed.

How is seasonality handled in the baseline calculation?

The baseline is calculated with seasonality adjustments. For businesses with strong seasonal patterns (education admissions, retail sales, tax season financial services), the trailing 90-day baseline is adjusted using the same 90-day window from the previous year to normalise the seasonal effect.

Can commission-tier work for lead generation businesses where revenue is delayed?

Yes, with modifications. For businesses where the revenue outcome from a paid media lead is 60 to 180 days away, commission-tier is calculated on qualified lead volume rather than downstream revenue, with the commission rate adjusted accordingly. For businesses with revenue delays beyond 180 days, commission-tier becomes structurally difficult and a well-designed retainer is usually the better choice.

What is the minimum engagement term?

Twelve months is the minimum. The 90-day onboarding plan requires 3 months to establish the foundation. A further 3 months of stabilised performance is needed to fairly assess whether the engagement is working. And 6 additional months of sustained performance are needed to see the full compounding effect. A mandatory interim review at the 6-month mark checks baseline calibration.

Can we exit commission-tier if it is not working?

Yes. At the 6-month interim review, both parties formally assess the engagement against baseline and expectations. If either party believes commission-tier is not producing the value it should, both parties can renegotiate the structure, restructure to a retainer, or wind down the engagement with a 60-day transition period notwithstanding the 12-month minimum term.

Does MagicWorks share creative assets and account access with our team?

Yes, throughout the engagement and at wind-down. All creative assets produced during the engagement remain the property of the client. Ad account access and administrative rights are held jointly during the engagement and transferred fully to the client at engagement end.

How is the commission actually calculated and paid?

At the end of each calendar month, the agency produces a commission calculation document showing the baseline, actual performance, incremental revenue, and commission earned (subject to cap). The client's finance team reviews, raises queries, and approves. Once approved, the agency invoices the base fee plus commission as separate line items. Payment terms follow the client's standard vendor payment cycle (typically 30 days from invoice).

Are there categories where MagicWorks will not accept commission-tier engagements?

Yes. MagicWorks does not offer commission-tier structures for categories where conversion attribution is fundamentally unreliable within reasonable windows: high-consideration B2B with sales cycles beyond 6 months, real estate primary sales, and businesses where the paid media role is primarily brand awareness rather than direct response. For these categories, a retainer with defined performance dashboards is the honest structure.

How MagicWorks can help

We are an AI-first digital marketing agency in Pune, and we have spent seventeen years helping Indian businesses turn paid media into real results. Commission-tier performance marketing is the structure we use for Indian businesses spending Rs 5 lakh or more per month across Google Ads and Meta Ads combined.

Performance Marketing under Commission-Tier.

Google Ads and Meta Ads managed together under a single commission-tier engagement. Base fee covers dedicated team, campaign management, creative production, reporting infrastructure, and monthly strategic review. Commission on incremental attributable revenue above defined baseline, capped for the client's protection.

Discovery conversation, no obligation.

If you have read this Playbook and believe commission-tier might be the right structure for your business, the next step is a 30-minute discovery conversation. In that call we work through the six diagnostic questions with you, review your current paid media performance, and give you an honest read on whether commission-tier is a fit for your specific context. There is no obligation to proceed to an engagement after the conversation; the goal is clarity on the model, not a sales pitch.

If you have read this Playbook and decided commission-tier is not right for your business, we hope the frameworks and diagnostics are useful in shaping your ongoing agency relationships regardless of who you work with.

The next step: email swapnil@magicworksitsolutions.com to book a discovery call. Please mention that you have read this Playbook so the conversation starts from shared context rather than repeating the ground the Playbook has already covered.

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Appendix: the six-question checklist

A one-page working sheet you can use before signing any commission-tier engagement, with any agency. Answer each question honestly. Circle Yes, Uncertain, or No.

1. Performance measurable? ☐ Yes ☐ Uncertain ☐ No

Can we measure paid media outcome within a defensible attribution window (7 to 90 days depending on business)?

2. Baseline defensible? ☐ Yes ☐ Uncertain ☐ No

Can both parties calculate the same baseline from the same trailing 90-day data, and agree on the number?

3. Market opportunity large enough? ☐ Yes ☐ Uncertain ☐ No

Do we have realistic headroom to grow paid media revenue 30 to 50 percent above baseline in the first 12 months?

4. CFO aligned? ☐ Yes ☐ Uncertain ☐ No

Has the CFO read and understood the commission structure and cap? Are they comfortable with variable monthly agency payouts?

5. Client team operationally ready? ☐ Yes ☐ Uncertain ☐ No

Can we dedicate one internal point of contact for 4 to 8 hours per week to the engagement?

6. Data transparency? ☐ Yes ☐ Uncertain ☐ No

Are we willing to share business outcome data (not just campaign metrics) with the agency, and use the same source of truth for commission calculation?

Interpreting your six answers. All six Yes: commission-tier is likely a strong fit; proceed. Four or five Yes: fit after pre-engagement work on the uncertain areas. Two or three uncertain or No: retainer is the honest choice today. Four or more No: significant operational work needed before commission-tier becomes viable.

This Playbook is provided for general operator guidance. Commission-tier engagement details vary by agency; the diagnostic principles are durable. For advice tailored to your specific business, please reach out.

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